

Paragraph 41A(c) of ISQM 1¹ and Related Application Material — Draft (Clean)

(Previously Paragraph 37(e) in the Exposure Draft of ISQM 1 (ED-ISQM 1))

This paper is a clean draft of the requirements in paragraph 41A(c) of proposed ISQM 1 (previously paragraph 37(e) of ED-ISQM 1), and related application material, relating to the scope of engagements subject to an engagement quality review. This paper incorporates the proposed changes made by the Task Force based on input from the Board at the September 2019 IAASB meeting and the Task Force's further discussions.

Paragraph 41A(c) Requirement

41A. In designing and implementing responses, the firm shall, at a minimum, include the following specific responses:

...

- (c) [Moved from 37(e)] The firm establishes policies or procedures addressing engagement quality reviews in accordance with proposed ISQM 2, and requiring an engagement quality review for:
 - (i) Audits of financial statements of listed entities;
 - (ii) Audits or other engagements for which an engagement quality review is required by law or regulation; and (Ref: Para. A103)
 - (iii) Audits or other engagements for which the firm determines that an engagement quality review is appropriate:
 - (a) As a response to assessed quality risks, based on the reasons for the assessments given to those risks, or (Ref: Para. A104-A105x)
 - (b) Due to the nature and circumstances of the engagement or the entity. (Ref: Para. A105A-A106)

Application and Other Explanatory Material

Engagements Subject to an Engagement Quality Review (Ref: Para. 41A(c))

A101. [Deleted]

A102. [Deleted]

Engagement Quality Review Required by Law or Regulation (Ref: Para. 41A(c)(ii))

A103. Law or regulation may require an engagement quality review to be performed, for example, for audit engagements for entities that:

- Are public interest entities as defined in a particular jurisdiction;

¹ Proposed International Standard on Quality Management (ISQM) 1 (Previously International Standard on Quality Control 1), *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements*

- Operate in the public sector or which are recipients of government funding, or entities with public accountability;
- Operate in certain industries (e.g., financial institutions such as banks, insurance companies and pension funds);
- Meet a specified asset threshold; or
- Are under the management of a court or judicial process (e.g., liquidation).

Engagement Quality Review as a Response to Assessed Quality Risks (Ref: Para. 41A(c)(iii)(a))

A104. Audits or other engagements for which the firm may determine that an engagement quality review is appropriate as a response to assessed quality risks may include, for example, engagements:

- That involve a high level of complexity or judgment, such as:
 - o An audit of financial statements for an entity operating in an industry that typically has accounting estimates with a high degree of estimation uncertainty (e.g., certain large financial institutions or mining entities), or for which uncertainties exist related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern.
 - o An assurance engagement that requires specialized skills and knowledge in measuring or evaluating the underlying subject matter against the applicable criteria (e.g., a greenhouse gas statement in which there are significant uncertainties associated with the quantities reported therein).
- Where issues have been encountered on the engagement, such as audit engagements with recurring internal or external inspection findings, unremediated deficiencies in internal control, or a material restatement of comparative information in the financial statements.
- For entities in emerging industries or that involve emerging technologies, or for which the firm has no previous experience.
- For which unusual circumstances are identified during the firm's acceptance and continuance of client relationships and specific engagements (e.g., a new client that had a disagreement with its previous auditor or assurance practitioner).
- That involve reporting on financial or non-financial information that is expected to be included in a regulatory filing, or that may involve a higher degree of judgment, such as pro forma financial information to be included in a prospectus.
- For entities for which concerns were expressed in communications from securities or prudential regulators.

A105. In some cases, the firm may determine that there are no audits or other engagements for which an engagement quality review is appropriate as a response to assessed quality risks (e.g., when other responses to assessed quality risks are determined by the firm to be appropriate).

Public sector considerations

A105x. [Moved from A107] The firm may determine that an engagement quality review is appropriate as a response to assessed quality risks for public sector engagements for which law or regulation establishes additional reporting requirements (e.g., a separate report on instances of non-compliance with law or regulation to the legislature or other governing body or communicating such instances in the auditor's report on the financial statements).

Engagement Quality Review Based on the Nature and Circumstances of the Engagement or the Entity
(Ref: Para. 41A(c)(iii)(b))

A105A. The firm may establish criteria for identifying audits or other engagements for which an engagement quality review is determined to be appropriate due to the nature and circumstances of the engagement or the entity. Factors that the firm may consider in developing such criteria include, for example:

- The public interest or public accountability characteristics of the entity, such as the holding of a significant amount of assets in a fiduciary capacity for a large number of stakeholders. Examples include financial institutions, such as certain banks, insurance companies, and pension funds.
- The high public profile of the entity or its management or owners.
- The number and diversity of shareholders.
- Expectations about how the engagement report or other engagement deliverables may be used by stakeholders.

A105B. Although the firm may take into account public interest or public accountability characteristics of the entity in establishing such criteria, this ISQM does not require the performance of an engagement quality review for public interest entities, as defined in a particular jurisdiction, unless otherwise required by law or regulation.

Public sector considerations

A106. In determining whether an engagement quality review may be appropriate for a public sector entity due to the nature and circumstances of the engagement or the entity, the firm may consider factors similar to those in paragraph A105A. Another factor that may be considered for larger public sector entities is the social or economic influence on the community or region in which the entity operates.

A107. [Moved to A105x]